

Wheels India Ltd

Concall Tracker — does the earnings-call story hold up? | Screener ticker: WHEELS | Prepared 4 July 2026

"You name it... we make it" — a Chennai wheel and industrial-components maker in the TVS / Sundaram (TSF) group.

1. Snapshot

What the business does, in one line: Wheels India makes the steel and aluminium **wheels** that go under cars, trucks, tractors and construction machines (earthmovers) — and, increasingly, non-wheel industrial parts: **air-suspension systems** for buses, **fabricated and machined castings for wind turbines**, and **hydraulic cylinders**. It sells mostly to vehicle and equipment makers (OEMs) in India and exports to the US, Europe and Brazil. It is a preferred supplier and, by volume, one of the world's largest makers of construction-equipment and tractor wheels.

Latest full year (FY26, consolidated per Screener)	Revenue ₹5,465 cr — total sales for the year; the first time the company has crossed ₹5,000 cr, and about a sixth (15%) more than last year.
Net profit FY26	₹158 cr — the money left after all costs and tax; up roughly two-fifths (41%) on last year's ₹112 cr. Earnings per share ₹63.4.
Operating margin FY26	8% (operating profit ₹413 cr) — for every ₹100 of sales, ₹8 is left as operating profit before interest, tax and depreciation. Thin, but the highest in years.
Return on capital (ROCE) FY26	19% — profit earned on the money invested in the business; a genuine recovery from 4% in FY21 and 11-12% in FY22-24.
Borrowings (Mar 2026)	₹768 cr — total debt; broadly flat for four years while sales grew, so the debt burden per rupee of sales has fallen. Management runs it at roughly ₹700 cr, mostly cheap working-capital / packing credit.
Promoter holding	58.31% — steady for years; a promoter-managed company (MD Srivats Ram, 30 years in the business).

Note: Screener's yearly figures are on a consolidated basis (they include the WIL Car Wheels subsidiary and the Axles India associate). In the calls management sometimes quotes standalone Wheels India figures — e.g. standalone FY26 revenue "just over ₹5,124 cr" — so small gaps between the two are expected. Market capitalisation is not shown as no share price was scraped.

2. Concall coverage

Eight earnings-call transcripts were read end-to-end, oldest to newest, spanning **Q2 FY23 (Nov 2022) to Q4 FY26 (May 2026)** — about three and a half years. Every call features the same two speakers: Managing Director **Srivats Ram** and CFO **P. Ramesh**, which makes the promised-vs-delivered comparison reliable.

Quarter	Call date	Transcript read?
Q2 FY23	3 Nov 2022	Yes
Q4 FY23	22 May 2023	Yes
Q2 FY24	1 Nov 2023	Yes
Q4 FY24	21 May 2024	Yes
Q2 FY25	28 Oct 2024	Yes
Q4 FY25	20 May 2025	Yes

Q2 FY26	31 Oct 2025	Yes
Q4 FY26	15 May 2026	Yes (latest)

These are the half-yearly (Q2 and Q4) calls; the company does not appear to hold Q1/Q3 calls. Coverage is well above the ~4-call minimum, so the consistency read below is solid.

★ Latest concall highlights — Q4 FY26 (call held 15 May 2026)

- **Best quarter in the company's history.** Standalone Q4 sales **₹1,471 cr, up 23%** year-on-year, with profit after tax up about **45%**. On a consolidated basis quarterly profit crossed **₹50 cr for the first time (₹58.8 cr)** — meaning the group made more profit in three months than it used to make in a whole quarter a few years ago.
- **Full year FY26 crossed ₹5,000 cr revenue for the first time** (standalone ~₹5,124 cr, +16%), with exports of ~₹1,342 cr. The big helper: **"GST 2.0" tax cuts turbocharged domestic demand** for cars, trucks, tractors and buses; exports also grew.
- **The loss-making arms turned positive.** The industrial-components division's operating profit jumped ~91% because the **hydraulic-cylinder and fabrication units, which lost money last year, both made money in Q4**. The car-wheel subsidiary that used to bleed cash is now profitable.
- **New guidance / caution flag:** margin was "just short of 8%" for the year; management now says **double-digit operating margin is "1 to 2 years away"**. Fresh headwind — a **"West Asia crisis"** is pushing up fuel, steel, aluminium and freight costs, and forward visibility is "about 1 month". A one-time hit also came from a **tougher new inventory-provisioning rule** and Europe's new CBAM carbon tax.
- **Tone:** confident on the strategy and the medium-term (aiming for 18%+ ROCE, double-digit margin), but noticeably more **cautious on the near term** because of cost inflation and its customers' own guarded outlook.

2c. Business mix & capacity (quick-glance)

- **Domestic vs export: Exports ~26% of revenue (FY26, ~₹1,342 cr / \$141m); domestic ~74%.** Roughly three-quarters of sales are inside India, one-quarter shipped abroad (US strongest, then Europe and Brazil). Exports grew from 25% to 26% of sales even though domestic sales boomed — so exports actually grew faster.
- **Auto vs industrial:** about **80% auto components, ~20% industrial** (wind, hydraulic cylinders, fabrication). Q4 FY26 split by end-market: commercial vehicles 22%, tractor 16%, passenger cars ~14-15%, construction wheels 17%, fabrication ~14%, cylinders 5%, air suspension 10%.
- **Capacity / utilisation:** No single group-wide utilisation figure is given; an investor pegged plants at "the higher of 80%" and management did not dispute it. The one clearly-tracked line is **cast-aluminium wheels: ~40,000 wheels a month now, being raised to 60,000 by Q4 FY26 and 80,000 by Q2 FY27** — management says **60,000/month is the level at which this business finally earns a double-digit margin**. Wind-turbine casting-machining (its partner runs ~3,500 tons/month, targeting 10,000; Wheels India does 85-90% of the machining) has clear headroom to grow.

3. Earning-trigger thesis ★

The headline story management has told **consistently for three years** is a **deliberate mix-shift away from being just a low-margin car/truck/tractor wheel maker** (which can only grow as fast as those industries) **into higher-margin, faster-growing niches where it starts from a small base:** machining of

giant wind-turbine castings, cast-aluminium car wheels, hydraulic cylinders, tractor-and-construction-wheel exports, and bus air-suspension (including e-buses). The bet: as these newer businesses scale and the money-losing ones turn positive, the group's thin ~8% operating margin climbs into double digits and return on capital reaches 18%. FY25 and especially FY26 are the first hard evidence this is actually working — profit has roughly doubled off the FY23-24 lows and ROCE has gone from 11% to 19%.

Trigger	What management said	Evidence so far	Horizon	Strength
Wind-turbine casting machining	A high-margin "conversion" business (little raw-material cost); partner scaling castings, WIL machines 85-90%.	Delivered. Ramped from a Dec-2022 start, volume doubled, called out repeatedly as the biggest single profit driver of the FY25 recovery.	Live; multi-year runway (partner 3,500→10,000 tons/mo)	Strong
Cast-aluminium car wheels	Would reach breakeven then double-digit margin once volume hits 60,000/mo; SUV shift lifts aluminium content.	Partly / slow. Loss → now marginally positive/EBITDA-positive. Stuck near 25-40k/mo since 2023 as a first OEM "underwhelmed"; still not at the 60k double-digit level.	Double-digit margin targeted Q2 FY27	Moderate
Tractor & construction wheel exports	New Mambattu plant + wider product range to win global tractor OEMs; ~₹300-400 cr extra export revenue over 3-4 yrs.	Early / promising. Plant commissioned FY26, first samples/exports shipping; 3 global tractor makers auditing. Exports grew ~25% in FY26.	Bulk from FY27; builds over 3-4 yrs	Moderate
Hydraulic cylinders (incl. Korea/SHPAC tie-up)	~₹200 cr business, margin just under 10%; tech + supply alliance with Korea's SHPAC worth ~\$15m in 24 months.	Turning. Was loss-making, went positive in Q4 FY26. SHPAC alliance signed FY26, "slow starter", scales FY27.	Meaningful from FY27	Moderate
Bus air-suspension (incl. e-buses)	Strong government/state-transport bus demand; supplier to all e-bus makers; low capital intensity.	Delivered. Repeatedly cited as a domestic growth engine; grew well in FY25-26.	Live and growing	Strong
Deleverage + margin/ROCE lift	Hold debt ~₹700 cr via free-cash-flow discipline; reach 18% ROCE and double-digit EBITDA margin.	On track on ROCE, not yet on margin. ROCE 4%→19%; debt broadly flat 4 yrs; but margin only ~8% — double-digit still "1-2 years away".	2 years (per mgmt, repeated)	Moderate

4. Management Consistency scorecard

The promised-vs-delivered record across the eight calls:

Period	What was promised	What actually happened	Verdict
			Partly

FY23 (Nov'22 / May'23)	Margins to recover to FY18-19 levels (7%+); aluminium to break even "early next year"; deleverage while funding capex.	Margin took two more years to reach ~8%. Aluminium breakeven repeatedly slipped. Debt was held/reduced as promised.	
FY24 (Nov'23 / May'24)	EBITDA back to ~7% by Q4 FY24; aluminium to 35-40k wheels/mo "by March"; subsidiary to breakeven; renewable power 26%→75% by FY26.	Q4 FY24 margin hit 8% — delivered. Aluminium stayed ~23-25k — missed. Subsidiary turned around — delivered. Renewable-power only "about half" done — missed.	Partly
FY25 (Oct'24 / May'25)	Maintain ~7-8% margin; grow profit despite lower sales; keep debt ~₹700 cr; exports to resume growth.	FY25 profit rose ~56% (mgmt, consolidated) on lower sales — delivered strongly on profit. Debt held. Exports still fell ~8% that year but recovered after.	Delivered
FY26 (Oct'25 / May'26)	8-10% revenue growth, mirrored across both halves; capex ~₹250 cr on plan; loss-making arms to turn positive.	FY26 revenue +16% (beat, aided by GST cuts); capex ₹261 cr delivered; hydraulic-cylinder, fabrication and the subsidiary all turned profitable. Crossed ₹5,000 cr.	Delivered
Recurring theme: double-digit margin	Promised "in 2-3 years" in almost every call since FY23.	Still not there (~8%). The goalpost has been rolled forward each year — the one genuinely persistent miss.	Missed (so far)

Narrative drift: Remarkably low. The **same MD and CFO** have told the **same strategy** for 3.5 years — grow the higher-margin niches, fix the loss-makers, hold debt, lift ROCE — and the story has **evolved sensibly rather than changed**. They are candid about misses (aluminium's slow ramp, the renewable-power shortfall, one-off charges), quote both good and bad numbers, and avoid hype. The recurring soft spot is **over-optimism on timing**: the double-digit margin and the aluminium ramp have been "two years away" for several years running. Tone has warmed from defensive (FY23, apologising for weak margins) to quietly confident (FY26), with a fresh dose of caution on West Asia cost inflation.

5. Bottom line — the two verdicts

Durable earning trigger? → YES

There is a concrete, live and increasingly proven driver: a multi-year shift into higher-margin niches (wind-turbine casting-machining, air-suspension, exports, hydraulic cylinders, cast-aluminium) that grow faster than the base auto business. It is no longer just a promise — FY25 and FY26 show profit roughly doubling off the lows, ROCE climbing 11%→19%, the loss-making arms turning positive, and the first-ever crossing of ₹5,000 cr revenue and ₹50 cr quarterly profit. The demand is derived (it rides on its customers' cycles) and near-term cost inflation is a real risk, but the structural trigger is genuine and playing out. That earns a clear Yes.

Management consistent? → YES

Same two leaders, same strategy, same language for three and a half years, with almost no story drift and unusually candid disclosure of misses and one-offs. They have delivered on the big-ticket promises — profit recovery, debt held flat, ROCE lift, subsidiary turnaround, loss-makers fixed. The one persistent shortfall is **timing optimism** (double-digit margin and the aluminium ramp keep slipping "two years out"), which is why this is a solid rather than flawless Yes. On the core test — do they do what they say and stick to their story — the record is clearly positive.

Prepared from eight Screener.in concall transcripts (Q2 FY23 – Q4 FY26) plus Screener snapshot CSVs. Educational summary of what management said and delivered — not investment advice. Figures are as reported by the company / Screener; consolidated unless noted. "EBITDA / operating profit" = profit before interest, tax and depreciation. "OEM" = the vehicle or equipment maker that buys the parts. "ROCE" = return on capital employed.